

banking, it's as high as 35-40 per cent. By over-compensating existing employees to fight a talent crunch, they are further feeding attrition.

Smart companies are realising this and taking measures to put an end to this vicious cycle. For instance, ICICI Bank has instituted a practice of giving performance bonuses across the board, in order to curtail attrition. It has scrapped issuing deferred bonuses as the practice didn't bring down attrition. It is focusing on creating an "attrition agnostic" organisation. With the sector recording 35 per cent compounded annual growth rate over the last few years and several new players entering it, attrition is a reality that organisations need to live with. Says K. Ramkumar, senior general manager: "If a tool is being used to arrest attrition, then it should at least halve it. The question companies need to ask is,

are they creating organisations that can sustain 20 per cent attrition so that they become attrition agnostic?"

The last three years have seen Indian salaries go up by over 25 per cent and, in some industries, the percentage of increase is even higher. For an economy that has a population which is dominated by under-30 professionals, attrition is unavoidable. While there is no doubt that compensation has emerged as a key differentiator in retaining talent in the short-term, it certainly does not make the organisation immune to people movement. In a bid to address the shortage of skills, com-

"We give better opportunities to our people. Compensation alone doesn't help keep people."

NALIN GARG
VP (HR), COCA-COLA INDIA



panies are increasing the premium they are willing to pay for talent rather than creating a robust pool of talent. In order to attract employees at the middle level, the survey shows that over 50 per cent companies are using sign-on bonus, while 40 per cent are giving deferred/retention bonuses.

Research shows compensation remains a key factor behind job changes, but companies have to redo the way they lead the business as they will now have a workforce that

thinks very differently and aligns its goals with those of the employer only if there is a connect that is functional, emotional and also social. This does make the task of creating the culture very different and challenging. Says Raj Bowen, CEO of PDI: "The new leaders of the current times will need to understand this and build their organisations very differently."

Rather than add 10-15 per cent load on their wage bill year on year, companies are working on creating a sturdy pool of talent by investing 2 per cent of their wage costs in improving education infrastructure. Companies like Infosys and ICICI Bank are working closely with educational institutions to make newly-minted graduates more employable. ICICI Bank has tied up with Manipal University to offer a probationary officer programme to 1,000 students from lower middle-class families with annual income below Rs 3 lakh. Graduates will be offered a course in residential PG diploma in banking. The bank has also picked up a stake in NIIT's Institute of Finance. Facing nearly 20 per cent attrition in various segments, the bank plans to recruit 20,000-30,000 students every year. Says Ramkumar: "We need to overcome the mindset that there is no talent in rural India. Eloquence in any language is important in the field of commerce."

Mahindra and Mahindra group has decided to align its corporate social responsibility with the issue of human capital that it is facing. The company will invest Rs 250 crore in building five

Three reasons why people quit

86.6%

find better pay elsewhere

89.7%

get better career growth

70.4%

cite personal reasons

Source: Watson Wyatt survey

Illustration by RAJ

